III

CPI inflation was 4.39 per cent in September 2016 when I ended my term, down from 10.5 per cent in September 2013 in the beginning of my term.* We were well on our way to meeting the third signpost on our glide path, 5 per cent inflation by March 2017 (which was indeed achieved by my successor). As I ended my tenure, I thought it was very important to communicate once again the reasons why we fought inflation, and why the battle could never be fully over, and why the fight needed to continue. I wanted to explain why the fight was important for sustainable growth, and why we had institutionalized the fight through a monetary policy framework agreed with the government, and an independent monetary policy committee appointed largely by the government. This was in a speech delivered at the Tata Institute of Fundamental Research (TIFR) on 20 June 2016.

The Fight against Inflation: A Measure of Our Institutional Development

In my speech today, I thought I would describe our efforts to build a different kind of institution, not one that delves into the deepest realms of outer space or into the tiniest constituents of an atom, but one that attempts to control something that affects your daily life; inflation. There are parallels between the institution building you have done at TIFR, and what we are setting up to control inflation, though clearly our efforts are much less tied to investigating the very fabric of the universe and more towards influencing human behaviour. Ultimately, both require a fundamental change in mindset.

THE COSTS OF INFLATION

High inflation has been with us in India for the last four decades. Most recently, we have experienced an average of more than 9 per cent inflation between 2006 and 2013.